



INTERNATIONAL TAX

UAE Corporate Tax: what Indian groups must plan for

April 2026 · by Vishal Tayal, Partner — UAE Desk

The UAE's Corporate Tax regime has changed the calculus for Indian groups using the UAE as a hub. The headline rate is modest, but the detail — qualifying free-zone income, substance requirements and the treatment of intra-group flows — decides the effective outcome.

The first question is free zone versus mainland. Qualifying free-zone persons can access a 0% rate on qualifying income, but the conditions around adequate substance and non-qualifying revenue thresholds must be met and evidenced, not assumed.

The second is the India side. Dividend, interest and service flows between India and the UAE interact with withholding, treaty positions and India's own anti-avoidance rules. A structure that is efficient in isolation can be inefficient — or exposed — once both sides are read together.

Substance is now the connective tissue: people, premises and decision-making in the right place. Documentation of that substance is as important as the structure itself.

TAG Group's UAE Desk, led by Vishal Tayal through Taxepolis International FZCO, plans these positions on both sides of the corridor — VAT, Corporate Tax, India GST and structuring — as one coordinated exercise.